

FIFE COUNCIL

INTEGRATED INCOME COLLECTION AND DEBT RECOVERY POLICY

INTRODUCTION

- 1.1 This document details the Council's policies on the billing, collection and recovery of monies due to the Council.
- 1.2 This Policy sets out the general principles to be applied in relation to income collection and debt management across all services provided by the Council. The Council collects income from various streams; some of this activity is governed by legislation and others by sound principles of financial management. The policy is designed to provide support to customers where it is identified they require money advice and income maximisation. This support will be carried out by our partners such as CARF using the online FORT referral system.
- 1.3 The policy will apply to all Council Services and seeks to be fair but firm; it is essential that all monies due are collected effectively by the Council, and that debt owed to the Council is kept to a minimum. This is because the Council has both a legal duty and a responsibility to its citizens to ensure that income due is received promptly, and to allow for the re-investment of our income in Council Services whilst at the same time striking the balance where a customer is in genuine difficulty in meeting their obligations.
- 1.4 Sums due to the Council can be a mixture of statutory and non-statutory charges. The methods for billing, collection and recovery of the statutory debts are tightly prescribed by statute. Our recovery practices must take account of this diversity.
- 1.5 An effective debt management process is critical to the delivery of the Council objectives. This policy will be underpinned by the creation and maintenance of a clear framework setting out a consistent and sensitive approach to collecting debt, whilst at the same time ensuring the Council continues to maximise collection performance. A full range of recovery methods will be used as appropriate if debts are not paid.
- 1.6 In undertaking a collection function it is inevitable that Fife Council will be required to pursue the recovery of arrears from persons and or businesses who may experience difficulty in paying such accounts. An agreed policy of how the Council manages and collects debts is therefore key to ensuring consistency and best practice in such situations.

2 AIMS AND OBJECTIVES

- 2.1 The aim is to maximise income collection to Fife Council and to minimise the cost of collection, while maintaining and improving the customer experience through collection and recovery.
- 2.2 The objectives of the integrated income collection and debt recovery policy in achieving that aim are to:
- (a) Bill, collect and recover charges and rents in an economic, effective and efficient manner that meets with legislation and best practice.
 - (b) Identify, where appropriate, support which may be required to those owing money to the Council, and ensure individual circumstances are taken into consideration safeguarding income maximisation.
 - (c) Encourage people to pay regularly; using the most cost effective methods provided that method meets the needs of the person.
 - (d) Promote early personal contact across all debt streams, recognising the need to prevent debts escalating.
 - (e) Standardise the approach to debt collection to ensure consistency of approach whilst complying with different legal aspects of the debt.
 - (f) Enter into sustainable arrangements for payment of debts at all stages of recovery recognising that where this cannot be achieved; we will take recovery action using the appropriate legal powers.
 - (g) Apply best practice to debt collection, to ensure all debtors are treated fairly and objectively, therefore minimising any potential disputes.
 - (h) Understand the requirements of client services within the Council including the need to protect vulnerable people and sustain persons in their homes.

3 SCOPE:

The policy applies to the collection and recovery of all council debt and includes all income streams and debts owed to the Council including:

- a Council Tax
- b Rents, both housing and others, e.g. garages and commercial

- c Housing Benefit overpayments
- d Non Domestic Rates
- e Income Recovery, e.g. Invoices, fees and charges, overpayments of employees salary or expenses.
- f Legal costs
- g Other

There are specific rules and regulations which govern the recovery and collection of specific debts. While section 4 below sets out shared, general principles, Appendices 1 - 6 set out the differences in collection for each debt type in accordance with regulation and legislation.

4 GENERAL CUSTOMER PRINCIPLES

4.1 Fife Council's customer service principles will be followed in implementing this policy.

4.2 When dealing with Income Collection and Recovery, the Council will follow the principles outlined below:

- (a) We will be courteous when dealing with customers including in written correspondence.
- (b) Our approach will be consistent and transparent at all times
- (c) We will be proportionate with the size and frequency of the debt
- (d) We will be to be firm and fair with each customer.
- (e) We will encourage customers to make early contact in respect of debt related matters.
- (f) We will take into account the current economic climate and individual financial circumstances to ensure the customer's needs are met
- (g) We will provide assistance for people who have language or sensory communication needs
- (h) We will ensure that all customers who require further assistance are provided with this.
- (i) Where disputes arise these will be investigated fairly and timeously with outcomes explained in full.
- (j) We will respect and protect the customer's rights throughout the recovery process